

3.

CASE #	CASE NAME	HEARING NAME
CVRI2507323	EDWARDS VS FORD MOTOR COMPANY	DEMURRER ON COMPLAINT

Tentative Ruling: PROOF OF SERVICE: Proper

OVERRULE

This lemon law action arises from Plaintiff Gregory Edwards' May 28, 2024, lease of a 2024 Ford F-150 (the "Vehicle") for which Defendant Ford Motor Company (or "Ford") issued an express warranty. Plaintiff alleges the Vehicle contains defects and nonconformities that manifested during the applicable express warranty period. The Complaint alleges Ford was aware and knew of the defects prior to Plaintiff acquiring the Vehicle but failed to disclose this fact to Plaintiff at the time of the lease and thereafter. Ford has failed to replace the Vehicle or promptly make restitution.

The operative Complaint asserts the following causes of action:

1. Violation of Song-Beverly Act – Breach of Express Warranty
2. Fraudulent Inducement – Concealment
3. Negligent Repair

Ford now demurs to the second cause of action for failure to plead fraud to the requisite specificity, failure to establish a transactional relationship, and *Rattagan* bars the claim.

In opposition, Plaintiff argues his allegations are sufficiently plead with the requisite specificity and that *Rattagan* did not change the law. Alternatively, Plaintiff seeks leave to amend.

Ford untimely submitted its reply on June 3, 2026. The Court should exercise discretion and consider the untimely reply. Ford generally repeats its arguments in reply.

On June 4, 2026, the Court ordered a Code-compliant meet and confer. Defendant was ordered to do one of the following 10 days before the continued hearing date, after meeting and conferring: (1) vacate the hearing on the demurrer and motion to strike, and file an Answer; (2) file with the Court a declaration stating the parties have agreed that Plaintiff will file an amended complaint before the next hearing date; or (3) file with the court a declaration **stating the means by which the parties met and conferred** and identify the specific objections in the demurrer and supporting memorandum of points and authorities that the parties were unable to resolve. (Code Civ. Proc., §§ 430.41, subd. (a)(3), 435.5, subd. (a)(3).)

The declaration is still deficient. Although counsel states she "spoke with" counsel for Plaintiff, this does not identify how the parties met and conferred. (Geraghty

Decl., ¶3.) Nor does the declaration identify the specific objections in the demurrer. (*Id.*) It merely states counsel “outlined Ford’s position regarding the demurrer.” This fails to comply with this Court’s order re meet and confer.

Notwithstanding this failure, concealment requires: “(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” (*Marketing West, Inc. v. Sanyo Fisher (USA) Corp.* (1992) 6 Cal.App.4th 603, 612-613.)

Although fraud claims require a heightened pleading standard, it is not practical to allege facts showing how, when, and by what means something did not happen. (*Alfaro v. Community Housing Improvement System & Planning Assn.* (2009) 171 Cal.App.4th 1356, 1384.) However, if the concealment is based on providing false or incomplete statements, the pleadings must at least set forth the substance of the statements at issue. (*Ibid.*) Additionally, the specificity requirement of fraud is “relaxed when it is apparent from the allegations that the defendant necessarily possesses knowledge of the facts.” (*Quelimane Co. v. Steward Title Guaranty Co.* (1998) 19 Cal.4th 26, 27.)

The case of *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828¹ addressed the sufficiency of pleading fraudulent concealment in a lemon law case in the context of a demurrer. The *Dhital* court found that it was sufficient that plaintiffs alleged a transmission defect in numerous vehicles, including the plaintiff’s, the defendant knew of the defect and the hazards they posed, defendant had exclusive knowledge of the defect and failed to disclose that information, defendant intended to deceive plaintiffs by concealing known defects, the plaintiffs would not have purchased the car if they had known of the defects, and they suffered damages on the sums paid to purchase the vehicle. (*Id.* at 844.) The manufacturer argued that there was no allegation of a buyer-seller relationship since the plaintiff had purchased the vehicle from a dealership, but the court found that an authorized dealership was an agent for purposes of demurrer. (*Id.*)

Here, the Complaint alleges the Vehicle had a defect with its 10R80 Transmission, Ford had exclusive knowledge of said defect through testing data, consumer complaints, aggregate warranty data, pre-market testing, and other internal information, but failed to disclose such information; Plaintiff would not have purchased the Vehicle had he known of the defects; and Plaintiff suffered damages as a result. (Compl., ¶¶12-39, 42, 57, 80-90, 93-94, 96, 97.) This is sufficient for pleading purposes.

¹ The California Supreme Court granted review pending *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, regarding the economic loss rule in concealment cases. After the Court issued its decision in *Rattagan*, the Court dismissed review. The court of appeals subsequently issued the remittitur, which disposed the case.

Ford argues that Plaintiff failed to allege sufficient facts to demonstrate a transactional relationship between the parties to give rise to a duty to disclose.

In general, a duty to disclose may arise from parties entering into any kind of contractual agreement. (*OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp.* (2007) 157 Cal.App.4th 835, 859.) “Suppression of a material fact is actionable fraud when there is a duty of disclosure, which may arise from a relationship between the parties, such as a buyer-seller relationship. [Citation.]” (*Dhital, supra*, 84 Cal.App.5th at 844.) “For purposes of duties to disclose, the California Supreme Court has defined a ‘relationship’ as a ‘transaction’ between the parties.” (*Warner Constr. Corp. v. City of Los Angeles* (1970) 2 Cal.3d 285, 294.)

Here, the Complaint alleges Plaintiff entered a warranty contract with Ford in Cathedral City regarding the Vehicle. (Compl., ¶¶6, 10.) Accordingly, Plaintiff sufficiently alleged that the parties entered a contractual arrangement to support that a transactional relationship existed to impose a duty of disclosure upon Ford.

Ford argues the fraud claim is barred by *Rattagan* and Plaintiff’s reliance on *Dhital* should be rejected. These arguments are unavailing.

In *Dhital, supra*, 84 Cal.App.5th 828, the court expressly found that the economic loss rule did not apply to the fraudulent inducement by concealment claim. The court stated:

To hold, at the demurrer stage, that plaintiffs’ fraud claim is barred by the economic loss rule, we would need to conclude, as Nissan urges us to do, that (1) despite the Supreme Court’s statement in *Robinson*, there is no exception to the economic loss rule for fraudulent inducement claims (or at least no exception that encompasses the claim plaintiffs allege in the SAC), or (2) plaintiffs have not adequately pleaded a claim for fraudulent inducement under California law (a question we address in pt. II.C., post). We reject both arguments and conclude the economic loss rule does not bar plaintiffs’ claim.

(*Id.* at 839.)

In *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 20-21, the California Supreme Court explained:

[U]nder the economic loss rule, tort recovery for breach of a contract duty is generally barred [citations] unless two conditions are satisfied. A plaintiff must first demonstrate the defendant’s injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract. Second, the defendant’s conduct must have caused injury to people or property that was not reasonably contemplated by the parties when the contract was formed.

The Court further stated:

The guiding and distinguishing principle is this. If the alleged breach is based on a failure to perform as the contract provides, and the parties reasonably anticipated and allocated the risks associated with the breach, the cause of action will generally sound only in contract because a breach deprives an injured part of a benefit it bargained for. However, if the contract reveals the consequences were not reasonably contemplated when the contract was entered and the duty to avoid causing such harm has an independent statutory or public policy basis, exclusive of the contract, tort liability may lie.

(*Id.* at 27.)

The Court repeated the public policy reason stated in *Robinson Helicopter, Inc. v. Dana Corp* (2004) 34 Cal.4th 979 supports holding fraud a deviation from usual business practice, and a plaintiff advances the public interest in punishing intentional misrepresentations. (*Rattagan, supra*, 17 Cal.5th at 30-34.) Therefore, a plaintiff may recover out-of-pocket damages in addition to benefit-of-the-bargain damages. (*Id.* at 33-34.) *Robinson* clarified that fraud was not an exception to the economic loss rule, but rather, the doctrine did not apply at all. (*Id.*) The Court reiterated that, “Broader tort liability only arises if a defendant violates an independent legal duty and the type of harm that ensues was not reasonably contemplated or accounted for by the contractual parties.” (*Id.* at 37.)

Ultimately, the Court found that a plaintiff can assert an independent claim of fraudulent concealment in the performance of the contract. (*Id.* at 38.) However, the Court noted that Rattagan’s claims were based on fraud committed during the contractual relationship but allegedly outside the parties’ contractual rights and obligations. (*Id.* at 41, n. 12.) The Court stated as it had granted of *Dhital* regarding fraudulent inducement by concealment claims under the Act and declined to address the issues in *Rattagan*. (*Ibid.*)

Based on *Rattagan*, the economic loss rule does not bar Plaintiff’s claims, which arise out of the course of the contractual relationship discussed above.